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Between Ruptures and Continuity: Modernisation, Dependency and the Evolution of Development Theory[1]

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The field of development studies provides a number of diverging perspectives to the pressing challenges of our time, but few clear answers to them. This article therefore questions why six decades of development studies have not been able to come up with more generally acceptable recommendations and solutions to old as well as new challenges. The argument is that as a field of study development studies has been so fixated with ruptures and paradigm shifts that much valuable insight of theories and perspectives rejected has been lost. In order to pursue this argument, the article's main focus is modernisation and dependency. While often argued to be opposites, modernisation and dependency approaches have in fact much in common and are still in use in both actual policy making and discourse as well as providing explanations of outcomes and events. However, current development practice also shows that the decades of criticism that development studies has provided towards both concepts have been lost on academics and politicians due to the eagerness to provide clear-cut categories. This argument is illustrated by recent empirical examples from Latin America and Sub-Sahara Africa.

Keywords: development theory; modernisation; dependency; Latin America; Africa

1. Introduction

When development studies emerged as a distinct academic field after the Second World War, its main emphasis was progress through modernisation, industrialisation and economic growth. On the basis of the virtues of technology and capitalist organisation, the underprivileged of the world were to be brought out of misery. Argued on the basis of science, this approach was also clearly motivated by geopolitical considerations that made it necessary to undermine support in the developing world for anti-capitalist

[1]This article as well as Benedicte Bull's speech on the occasion of the 20th anniversary of International Development Studies, Roskilde University Centre, are based on the authors' work with the four-volume reader in International Development published by Sage in 2010 (Bull and Bøås, 2010a).

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models of development. Ever since, development research has been an effort to critique, refine and re-conceptualise the idea of development as modernisation and economic growth and the strategies recommended to reach it. Concepts have been coined and approaches formulated while others have been rendered irrelevant, unethical or counterproductive. Yet when studying the field of development research and practice today, one is struck by the co-existence of strategies and theories with deeply diverging views on what development is and should be, as well as the plethora of unresolved development challenges including resource depletion, food shortages and the persistence of poverty.

This is indeed a paradox and it begs the question of why development studies through its at least six decades of existence have not been able to come up with more generally acceptable recommendations and solutions to old as well as new challenges. Our answer is that development studies is not a fixed coherent academic discipline progressing through systematic inquiry, but rather a complex, multifaceted and fragmented academic field that has evolved through political shifts as well as the dynamic interaction between normative ideas about what development is, and should be, intended and unintended development outcomes, and the systematic study of them (Bull and Bøås, 2010b). The political nature of the field has impeded efforts to carefully analyse existing contributions from previously dominating schools of thought to select what lines of inquiries should be continued and which ones should be rejected.

The history of development studies is commonly presented as one of several great ruptures: first between the modernisation school of the 1950s and 1960s and the more radical dependency theories of the 1960s and 1970s; another emerging with the critique of economic growth from environmentalists, local developers and others; and finally, the rupture associated with post-colonial and post-development theory, rejecting the entire development project. While this may be an appealing story, it does not well reflect realities and it contributes to conceal much of the continuities that in fact exist. Rather unfortunately, development studies have been so fixated with ruptures that it as a field of study by and large has failed to pursue a sustained academic focus on the continuities. This means that much insight has, if not been lost, at least been ignored, and the consequence is the emergence of several paradoxes. One of the most important of these is that old ideas about industrialisation and modernisation are reborn as the pathway to progress in spite of decades of severe criticism partly as a means of defying dependence by former 'developing countries'.

As an alternative to the view presented above, we argue that several of the concepts and ideas of the past are vividly alive in current development praxis and the public debate as well as in academic publishing. It is through engaging seriously with the content, weaknesses and strengths of the field at large, rather than attempting to render important contributions of the past to the graveyard of outdated or condescending contributions, that we may be able to develop more relevant and convincing ideas about development for the future. In order to explore this argument, in this article we

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place a particular focus on the concepts of modernisation and dependency. While often argued to be opposites, modernisation and dependency approaches have in fact much in common and are still in use in both actual policy making and discourse as well as providing explanations of outcomes and events. However, current development practice also shows that the decades of criticism that development studies has provided of both concepts have been lost on academics and politicians due to the eagerness to provide clear-cut categories. This argument is illustrated by recent empirical examples from Latin America and Sub-Sahara Africa.

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2. The post-war modernisation theory, its demise and its revival

Scholars have studied and written about modernisation, development and economic growth for several centuries. However, the birth of development studies as an academic field is commonly dated to President Harry Truman's inaugural address in 1949. Here he called for the Western world to share their technology and expertise to bring formerly colonised countries out of misery, thus providing the framework for theorising development in the context of the Cold War and its geopolitical considerations (Truman, 1949). Its emphasis on technological progress and how developing countries should replicate the industrialisation, economic growth and increased consumption that had occurred in the West came to mark development studies as well as development strategies in decades to come, and particularly what has been named the 'modernisation school'.

The decade following Truman's speech was the age of heavy lending from the World Bank and other development institutions to large-scale infrastructure projects, and technology transfer as a means to modernise and build productive capacity. This took place within the framework of an 'embedded liberalism compromise' aiming to liberalise world trade while allowing for national state interventions (Ruggie, 1997).

The so-called modernisation school soon came under harsh critique for failing to reach its objective of pulling what was then called 'backwards areas' out of poverty, but even more important, for being shaped in the interests of the West, and in particular the hegemon of the Western world, the United States. The modernisation school was further criticised for being ethnocentric, having a uni-linear understanding of history and simplifying complex realities in order to fit it into general 'development manuals' for the incipient aid industry (Martinussen, 1994; Schuurman, 1993; Sørensen, 1986). The contribution that is most often referred to when students are introduced to modernisation theory is Rostow's (1960) theory of the stages of growth. His 'anti-communist manifest' predicted that the 'backwards areas' would have to pass through a predefined set of stages to reach the 'mass consumer society' of the United States and Europe. This would according to Rostow (1960) only be achieved through massive investments and integration into the capitalist world economy.

This notion of development as modernisation has its obvious flaws. However, what were lost in the many rejections of the 'modernisation paradigm' were the sincere and

important insights of other scholars also working within this paradigm. Although focusing on industrialisation and technological advances, the bulk of the contributions cannot as easily as Rostow be accused of being simplistic and Eurocentric. Rather, many of these scholars sought to understand the special conditions in what was then often called 'backward areas', and how economic theories should be adapted to their particular problems. As such, they created the basis for establishing 'development economics' as a distinct sub-discipline of development studies; and while undoubtedly guilty of creating dichotomies between industrialising and developing countries, they were far from simplifying matters. The more nuanced contributions from this period were not solely based on US and Western Europe's experience or focused only on the economy and the conditions for economic growth. A surprising number of the researchers drew directly or indirectly on the experience of Eastern Europe in the recommendations formulated, and key contributors such as Paul Rosenstein-Rodan, Ragnar Nurkse and Alexander Gerschenkrohn all had a Russian or Eastern European background and drew heavily on this heritage in their work (Gerschenkrohn, 1969; Nurkse, 1952; Rosenstein-Rodan, 1943). Moreover, the early modernisation theory in fact offered important insights into the problem complex that 30–40 years later would come to be known as 'good governance'. An author such as Albert Hirschman assumed critical importance to the institutions needed for fostering economic growth and development (Hirschman, 1957).

Thus, not only did they not fit with the image given to them in later contributions, many of their warnings were also overlooked. The most obvious is their warning about the inability of market forces and private actors to provide sufficient investments for development. Another key point was that the backwards areas would mostly be able to trade within commodity sectors, which in turn would lead to falling prices (see for example, Lewis, 1954; Nurkse, 1952; Rosenstein-Rodan, 1943). Both of these points were picked up by the structuralist school that was generally critical of the modernisation approach. However, the same points were overlooked by the neo-liberals of the last decades of the twentieth century that endorsed and deepened other aspects of the ideas of the modernisation school.

Another generally overlooked aspect is the warning against applying general economic analysis – or even worse, general policy tools – without taking into account local conditions such as social structures, institutions and political systems. Instead of giving general advice on how to create development in the 'backward countries', they argued that more attention should be paid to the conflicts that development creates and emphasised the need for each country and region to seek their own way. It is therefore not correct that scholars working within the old modernisation paradigm primarily were seeking to generate a general development manual.

Ironically, decades later, widely different revivals of the modernisation ideas have ignored many of the warnings of the early contributions. The argument in Fukuyama's (1989) 'The end of history' is one obvious example, as it reproduces modernisation theory without taking account of earlier warning against the theoretical

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oversimplification of complex situations, and Sachs' (2005) 'The end of poverty' is admittedly more socially sensitive, but equally evolutionist, Eurocentric and narrow in its approach as Rostow.

Among development practitioners, the application of elements of modernisation theory is also conducted without much concern for the nuance of the early literature nor the latter criticism. For example, a number of the left-of-centre governments that have come to power in Latin America since the late 1990s have brought the state back in as the champion of modernisation and development. In their pursuit of modernisation, these governments have linked this directly to the extension of social programmes and poverty reduction. Latin America as a total has seen a drop in poverty rates from 44 to 31 per cent over the last decade (CEPAL, 2012), and also a (more timid) reduction in the enormous gaps between rich and poor. In the pursuit of reduction of poverty and inequality, the centre-left governments have far outperformed their right-wing forerunners, and much of this is due to the extension of innovative social programmes, to a significant extent funded through the resources generated by resource extraction (Bull, 2010; Cornia, 2009; López-Calva and Lustig, 2010).

However, as this new activist state mainly operates within the extractive sectors of the economy and spends the revenue gathered on a combination of infrastructural development of this very sector and the social programmes that they base their electoral legitimacy on, few state resources are spent on value-added industrialisation strategies.[2] Thus, in accordance with modernisation theories, they spend substantive state resources on developing infrastructure to support resource extraction and commodity exports. However, they ignore the warnings against such a narrow strategy from both the modernisation school and the Latin American structuralists such as Prebisch (1972). Thus, ironically as a consequence, South America (which is where most centre-left governments have been in power) has turned more dependent on the export of primary goods over the last decade, whereas in Mexico and Central America, which have continued with a neo-liberal development strategy based on free trade, the industrial component of exports is much larger (Ocampo, 2008).

3. Structuralism and the ever-returning question of dependency

The contributions of the 1960s and 1970s that later have been lumped under the headlines of structuralism and theories of dependency and underdevelopment are in fact a rather diverse and rich body of literature that in general had one thing in common: a focus on different aspects of relationships of dominance and subordination between rich and poor countries as the very backbone of the condition of underdevelopment. These contributions renamed what was previously called 'backward areas' to 'underdeveloped' countries, alluding to the view of lack of development as a process not a condition.

[2]The exception from this trend is Brazil.

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There is little doubt that these theories represented a radical critique of modernisation theory. However, this body of literature also drew heavily on earlier work. This is evident first and foremost among non-Marxist structuralists such as Hans W. Singer and Raúl Prebisch. Studying the commodity-producing developing countries' lack of economic gains from international trade, neither the Latin American (Prebisch, 1962; Singer, 1950) or Asian (Akamatsu, 1962) researchers questioned that modernisation and industrialisation are and should be core objectives of development. Rather they questioned the extent to which the classical economic thoughts could be used to understand the situation of the 'underdeveloped' countries. This was a line of inquiry that also many of the early modernisation theories had pursued. However, the structuralists aimed their critique against the international aspects of classical theories (the main target being David Ricardo's trade theory), and not the same theories' lack of sensitivity to particular conditions in the 'backwards countries' that had been a key point for earlier generations of development economists.

The Marxist dependency theorists clearly moved further away from the modernisation theories. For example, the neo-Marxist Paul Baran argued that colonisation had prevented industrialisation in the colonial countries, because the profits that could have been reinvested in productive activities were transferred to the centre of the colonial power (Baran, 1957). He, therefore, laid the foundation for comparing the relationship of exploitation between capitalist and worker as that of 'centre and periphery' (Amin, 1972; Galtung, 1971) or 'meteropoles and satellites' (Frank, 1966). This was, therefore, a clear critique of the idea of the modernisation theorists that in 'dual economies' or 'traditional societies' growth could be created through a shift from the traditional to the modern sector. The radical development theories argued that the entire world was encapsulated in a global capitalist system that was negative for the developing countries' possibilities of modernisation. Development was either viewed as impossible within the global monopoly capitalist system (Frank, 1966), or – as in the argument of the Gramsci-inspired dependency theories – partly possible in local contexts conditioned by a class compromise (Cardoso, 1974; Sunkel, 1969).

The popularity of dependency theory was definitely weakened by the abandonment of one of its main development solutions, the new economic world order (NIEO), in the 1980s. However, the economic miracle in East Asia – the rapid industrialisation of South Korea, Singapore, Hong Kong and Taiwan – was also in stark contrast to the more dogmatic versions of dependency theory, which had argued that any form of development was impossible within the framework of the capitalist system. Subsequent studies and interpretations of the economic miracle in East Asia did not justify a wholesale rejection of the dependency theory, but rather laid the grounds for further refinement of it, focusing in particular on the need to understand the interaction between external dependence and local institutions (Evans, 1989; Evans et al., 1985). Nevertheless, the Asian experience did weaken a perspective that came to be completely rejected with the emergence of neo-liberalism as the hegemonic idea in major development institutions in the 1980s.

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In an international political climate dominated by Thatcherism and Reaganism, research by economists arguing for the application of the general economic theory of the free market to developing countries (see e.g. Balassa, 1971; Bauer, 1972; Bhagwati, 1982; Krueger, 1990) gained unprecedented influence in major development institutions. Aided by the debt crisis of the 1980s that undermined the legitimacy of structuralist-inspired models of import-substituting industrialisation, the combined political and intellectual shift created a climate in which analyses of structural conditions and power relationships were rejected in mainstream academic environments as well as in the major global financial institutions. Neo-liberal varieties of neo-classical economics thus formed the basis for the now infamous structural adjustment loans of these institutions.

Several of the current governments in Latin America came to power precisely due to a popular rejection of neo-liberal ideas, as there was widespread disappointment with their results (Silva, 2009). Although they subsequently did not abandon completely neo-liberalism, their development strategies have added elements from the structuralist school of the 1960s and 1970s, in addition to the elements of modernisation. This means that they have given the state a more significant role in the economy after years of privatisation and reliance of foreign direct investments. Led by Brazil, several countries have re-introduced capital controls in order to protect national competitiveness, and the same governments have tried to meet the global financial crisis with structuralist counter-cyclical measures. As a means to avoid dependence on global financial institutions, one has also made efforts to set up regional and national institutions. The Brazilian development bank's annual lending far exceeds that of the World Bank (US$69 billion vs. US$42 billion) and counts on offices in London and Montevideo to assist Brazilian business abroad.

Yet, these efforts have occurred simultaneously as Latin America is developing increased dependency with new global actors, particularly China. The long-term impact on Latin American development of the interaction with China is now a hotly debated topic across the region: from Mexico where the main concern has been loss of market shares in the USA for cheap Mexican industrial products, to the Southern Cone where industrialists find themselves outcompeted at the national markets at the same time as they view the extractive sectors becoming the driving force in the economies (Bull and Kasahara, 2011; Gallagher and Porzecanski, 2010; Jenkins, 2010). Yet, the voices of concern have by and large been ignored as long as China's growth has driven up the commodity prices that are feeding the social projects in Latin America discussed above. However, if that growth slows, the problems of this dependency will appear just as evident as the dependency of the United States some decades ago. (América Economía, 2011).

Similarly, since the mid-1990s, China's involvement in Africa has dramatically escalated and today it covers a vast range of policy areas (Brautigam, 2009, Taylor, 2009). Accessing Africa's vast natural resource base is of vital importance to China's economic machinery – as an industrial late-comer, it has to rely on accessing

natural resources in areas which the West has shown little interest (this at least partly explains why China is an important player in the oil sector in places such as the Sudan). However, China and the other countries that are new economic players on the African continent are not only seeking access to natural resources, but also new markets and investment opportunities. As opposed to the better part of the West that still interprets Africa through the lenses of development aid and humanitarian interventions, China has long emphasised the emergence of a new middle class and thus an interesting market for their products. Where the West sees aid, China and other new actors look for business.

China invests, contributes with loans and assistance and buys raw materials, particularly oil and minerals at a relatively good price, but China is also flooding African markets with manufactured products at prices so low that local African producers cannot compete, and thereby contributes to the deindustrialisation of Africa and continued dependency on export of raw materials (Brautigam and Xiaoyang, 2011). There are, therefore, important similarities in this regard between African and Latin American countries that operate within extractive sectors mainly and analysis applying a careful reading of development studies could contribute to drawing attention to the paradox that we have identified here. There is, however, more to this than merely resources and business opportunities. China, in particular, is also utilising its new financial muscles to develop diplomatic ties and to secure political and military strategic partnerships through unconditional development assistance (Tull, 2006). This is also a sort of dependency and suggests that dependency is still decades after the end of the Cold War a multidimensional condition.

Much of this is often depicted as a completely new trend. This is not entirely correct. China's interest and involvement in Africa is not a new phenomenon – what is new is how wide it is and how quickly it expanded. China swiftly recognised the sovereignty of independent African states in the 1960s, and this was followed by the signing of several bilateral technical agreements (as for example, the construction of the railway between Tanzania and Zambia). During the Cold War, the race of influence between the super powers also at that time motivated the Chinese leadership to establish 'ideological bridgeheads' on African soil in competition with USA and Soviet Union (as for example was attempted in Zanzibar). However, throughout the late 1970s, the 1980s and the early 1990s, the dominance of the Bretton Woods institutions in Africa eclipsed China's influence; simultaneously as China itself turned its focus inwards (Alden, 2005; Taylor, 2009).

This evolving dependency relationship stands in stark contradiction to the often dependency-inspired discourse of the new leftist leaders of Latin America, and particularly the dependence on commodities and foreign investments ignores the warnings of the dependency scholars. Yet, it is a different set of contradictions that currently causes the deepest conflicts, namely those between the partly structuralist and partly modernisationist project and the critique against modernity emerging from the more radical versions of dependency theory.

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4. The controversies of post-colonialism

Even with the dominance of neo-liberal approaches, dependency theories did not die, but were relocated to non-mainstream marginal academic communities and social movements. In these environments, dependency theories blended into an increasingly strong critique of the very project of development. This was brought forward by among others Latin American and African scholars such as Enrique Dussel, Arturo Escobar, Aníbal Quijano and Achille Mbembe. Often depicted as a new turn, this was in fact less novel than what it was presented as.

Traces of this critique can be found in the dependency theories of the 1960s and 1970s. For example, the dependency theorist Emmanuel (1974) criticised the content of the concept of development, arguing that it should be expanded to include the concept of increased human wellbeing as well as incorporate the limitations ecology set for economic growth. Indeed, as Coronil (2004, p. 223) has argued, 'the dependency school represents one of Latin America's most significant contributions to post-colonial thought'.

There were also various related earlier contributions that focused on relationships of dominance in the cultural and psychological spheres: The Brazilian educator Freire (1970) built his approach on 'liberation theology' and was concerned that the oppressed not only had to free themselves from political and economic oppression, but also from the entire mindset of injustice, exploitation and violence that had made possible oppression. The Martinique-born psychiatrist Fanon (1963) showed how the effects of colonialism goes much deeper than just the conquered society's political and economic structures, and also includes the culture and attitudes of the conquered people. There is a line of continuity from Freire and Fanon to later post-development and post-colonial perspectives that gained influence in the context of an increasing development pessimism and a neo-liberal project that gained a hegemonic position replacing all other modernising efforts.

The post-development critique therefore constituted a strong and direct attack on the very content of the concept of development and the discourse it has produced. This discourse is viewed as a 'western religion' and a tool to promote westernisation and cultural homogeneity (Pieterse, 2000). It is thus not only a critique of the results of the development policy, but even more of its intentions, the worldview it is based on and its discursive power (Escobar, 1984). In the words of Sachs (1992, p. 3), 'it is not the failure of development which has to be feared, but its success'.

The post-colonial critique does not in the same way reject 'development' as a political project, but intends to reveal the false stories that colonialism in its many forms – including the development system – is based on. Post-colonialism focuses on the ways in which knowledge about the oppressed and dispossessed is used in the interests of the colonialists, and on how the literature of colonialism justified colonisation by creating images of societies, human beings and cultures as inferior (Dussel, 1993; Mbembe, 1992; Said, 1977).

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Currently, the post-colonial critique and the movements that are inspired by it not only focus on the colonial discourse and the construction of the duality between the colonists and the colonised. They are equally focused on constructing the discourse of the subaltern, and through that create pathways to the improvement of human lives outside of the development paradigm. As such, they implicitly draw on several other contributions from the history of development studies, for example, contributions focusing on participation and local knowledge (Chambers, 1994), the long line of scholars and officials that criticised the modernisation paradigm for being environmentally unsustainable (e.g. Beckerman, 1992; Blaikie and Brookfield, 1987; Stern, 2006; WCED, 1987), and the focus on basic human needs and local development from the early 1970s.

Yet, this critique occurs within a framework that explicitly rejects the Truman project and that gives priority to local self-determination and cultural diversity. Thus, it also rejects the more recent attempts at a universal redefinition of development, such as, for example, those made by Amartya Sen and Martha Nussbaum whose critique rejects the focus on economic growth and the reduction of human progress to increased access to economic resources, but also seeks to continue a development project that is rooted in the European enlightenment tradition (Nussbaum, 2000; Sen, 1991).

In the Latin American context, such ideas have developed in interaction with societal movements with their roots in three main ideological currents: the Christian base of communities linked to the theology of liberation; the indigenous insurgents with a non-western cosmology; and the militant revolutionary guevarism (Zibechi, 2003). They were united in the struggle against, on the one hand, the dominating neo-liberalism that transformed the economies and state–society relationships across the region over the last decades and, on the other hand, an oppressive state apparatus with its roots in colonial times. The indigenous movement held a particular position within the variety of groups and associations, having gained an unprecedented regional reach and co-ordination related to their opposition to the 1998 commemoration of the 500 years of colonialism. They denounced the dominating development paradigm for being a continuation of a project of cultural, political and economic colonialism, and they were supported in their struggles by labour unions, organisations of unemployed, community groups, student unions, feminists, environmentalists and other groups with otherwise varied claims and agendas but that joined forces counteracting the combined weight of neo-liberalism and long-standing racism and social exclusion (Van Cott, 2007; Yashar, 2005).

The new social movements provided inspiration to, at the same time as they fed off of, intellectuals that sought to develop a post-colonial critique in Latin America. This critique ranges from the critique of how Latin America is constructed as the anti-thesis of development and enlightenment and a critique of the conditions for social theorisation from the 'underside', to attempts at understanding the specific forms of peripheral modernity that emerge in the meeting between the dominant and the subaltern cultures

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(Coronil, 1999; Dussel, 1995; Quijano, 2000; Santos, 2007). Latin America's experience with colonisation goes much further back than those of Africa and Asia and it was much earlier transformed into an 'internal colonisation' (as it was partly the groups of colonisers that gained independence from the Iberian imperial countries), and it was later subject to subtler forms of economic, cultural and social rather than explicitly political subjection. This has made many of the assumptions of post-colonial perspectives, such as a sharp distinction between the indigenous and the non-indigenous, difficult to apply, and some prefer to speak rather of 'post-Occidentalism' in order to avoid making the sharp distinction between forms of subjection experienced during the colonial period and what has been experienced later (Mignolo, 2005).

While several of the social movements helped bringing the left-of-centre governments to power, their co-existence with them has been far from easy. The centre-left governments have been confronted with opposition from previous supporters and allies on two accounts that reveals the depth of the inner contradictions of their development projects. The first is the critique based on the heavy toll on the nature of the fast depletion of resources, be it logging or oil extraction in the Amazon or mining in the Andean countries. This is currently evident across the region but perhaps most pronounced against the leftist Brazilian government who through a fast development of economic activities and infrastructure has contributed to a rapid deforestation of the savannahs (el Cerrado), and after an initial improvement, to the continued deforestation of the Amazon (Gudynas, 2010).

The second and perhaps even more profound challenge comes from the indigenous groups and their supporters. While often continuing a discourse that pays tribute to the social movements, in practice, the natural resource-based development strategy partly violates many of the core claims of the indigenous movements such as the right to consultation in projects that directly impact on their livelihoods and culture, and also runs counter to the key ideas of post-colonialism associated with them. Nowhere is this more evident than in Bolivia. In 2006, the presidential victory of the Aymara Indian and coca grower union leader, Evo Morales was celebrated as a watershed not only in Bolivia but across the region. Yet, while Morales' discourse on the one hand has continued to praise the non-Occidental world view of the indigenous movements that emphasise alternative values to modernisation and economic growth, he has pursued an aggressive development policy to expand national infrastructure in order to make better use of the country's rich natural resources. This has brought his government into deep conflict with the indigenous movements that protest against the imposition of projects on the lands where they have developed their livelihoods for centuries. The most emblematic case has been the planned construction of a four-lane highway across the indigenous reserve and national park Isiboro Securé by a Brazilian company and with a 332 million dollar credit from the BNDS. Morales has repeatedly qualified the indigenous protests as being 'against the development of Bolivia' and argued that their actions are 'manipulated by foreign NGOs'. Ironically, during the latest wave of protests, he was in Beijing signing contracts for the exploitation of the country's valuable lithium

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resources, from where he rejected the protests as 'political acts against his government'. Similar accusations have repeatedly been made by Rafael Correa in Ecuador, and Ollanta Humala in Peru. Yet, while the clashes between modernisation efforts and the dependency relations that they create on one hand, and the pursuits of more sustainable livelihoods and alternative cosmologies on the other are obvious, the current constellation of forces may also lead to a negotiation between different concepts and strategies of improving human wellbeing. The mentioned Isiboro Securé project was, for example, halted by the government that entered into negotiations with the indigenous people living there (Hirsch and McNeish, 2011). And although the efforts at re-conceptualising both the state and development made in the processes of rewriting the constitutions in Bolivia and Ecuador may have had less direct impact than what was hoped for, there are still on-going processes of transformation that may hold the potential of renewing the concept of development without scrapping the most valuable insights from older theories (Gudynas, 2011; Jameson, 2010; Schilling-Vacaflor, 2010).

The growth taking place in some economies on the African continent is for real, but still based mainly on trade in raw materials from extractive sectors. As such, there is little local value added and carries with it the risk of falling commodity prices. Both modernisation theory and the dependency paradigm therefore should still have valuable insight for the African condition. However, what is needed is a type of non-dogmatic approach to development studies that incorporates internal as well as external forces and the interplay between them that could both enlighten investors and aid practitioners about the complexity of life in the post-colonial state. The case of China in Sudan is illustrative in this regard.

At face value, one could easily believe that this would be a classic case of super power dominance and control over the regime in Khartoum, but as Bayart (2000) had alluded, Africa's 'extraversion' into the global economy is much more complex. In fact, Sudan and the regime in Khartoum have been a steep learning curve for the government in Beijing and what has framed this particular relationship is what Bayart (2000) calls *dependency as a mode of action*. In this case, this is revealed by the nature of the political economy of oil where huge investments in the form of sunk costs must be made upfront before any profit (in the form of money or oil) will be available. This means that once the investment has been made, the balance of power will tilt towards the regime controlling the territory of oil (in this case Khartoum). Thus, when the case of Darfur emerged on the international scene, it was not so much Beijing could do than trying to persuade (mostly in vain) Khartoum and President Bashir to behave a little better and be more responsible towards the population in this part of Sudan. This is not an argument made to deny that a relationship of dependency does not exist between African countries and important providers of capital and revenue, but that relationships of dependency are never completely straightforward and there will always be 'strategies for the weak' available, turning dependency from immobility to a mode of action. More nuanced readings of the larger development studies literature could help illuminating

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such complex relationships of dependence, whereas recent African post-colonial scholarship could point out some of the opportunities, challenges and contradictions of lived life in the post-colony. The basic point being that a development studies approach could still increase our understanding of the African condition in the twenty-first century, but such an approach must be built on a sober reading of the debates as well as shifting its focus to a middle-range approach to theory-building that allows for generalisations as well as paying attention to details and specificities.

5. Conclusion: the continued relevance of modernisation and dependency theory

Development theory has been transformed through political shifts, changes in intellectual currents and practical development experiences. These changes have often been presented as paradigm shifts, and the representatives of new currents or 'paradigms' have often attempted to simplify their predecessor's approaches in the processes of highlighting their own contributions. In the process, also much important insight has been lost. Currently, we therefore find ourselves in a situation in which major contradictions that have been treated in depth through the history of development theory have resurged with full force, creating deep conflicts and contradictions that seem very difficult to solve.

The brief stories of the current experiences in Latin America and Africa illustrate several points. First, it is obvious that in spite of its theoretical refutation and critique, modernisation theory live on not only in recent theoretical work, but also in the development strategies and discourses of current policymakers. While it was never completely off the agenda, for a couple of decades, the neo-liberal discourse with its focus on markets as the main driving force of development was the dominating one. The ideas of different contributors to modernisation theory with their focus on state-induced development, technological progress and investments as a driving force of industrialisation were seemingly 'sent' to the same resting place as flat-earth manifestos and astrological charts. However, with the success of China's aggressive state-led industrialisation catering to global markets, and the collapse of self-regulatory financial markets in the West, the ideas of modernisation have experienced an unexpected renaissance as a model for development. However, when pursuing such strategies, countries have come to ignore the long line of criticism launched against the modernisation project as well as some of the more nuanced contributions to it. For example, some of the Latin American regimes that are investing heavily in modernisation and that have revived the role of the state in development ignore simultaneously the modernisation schools' recommendation of focusing on industrialisation, the warnings of the dependency theorists against the establishment of capitalist ties to stronger powers and the environmentalists' insistence on sustainability as they are depleting natural resources at a breath-taking pace. Moreover, while paying lip-service to post-colonial discourses and new conceptions of the relationship between man and nature, they have only in some cases taken seriously the task of mediating between different development

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goals, thus letting the 'imperatives of modernisation' overshadow alternative conceptions of human wellbeing. A more careful reading of not only the critiques of the modernisation literature, but also some of its more nuanced contributions could have taught policymakers and their advisers of the perils of putting modernisation before everything without taking into consideration the social, political as well as environmental costs.

However, it is obvious that also dependency theory is still alive, and this is our second main point. Among policymakers, it is perhaps more common to refer to dependency mechanisms in discourse than in practice, but we can still observe efforts to create alternatives to the existing western dominating capitalist system, as well as 'real life' evidence that the western dominance is waning. However, less attention is paid to the new forms of dependency relations emerging in a world which is changing much faster than what the old dependency theorists predicted, but which also shows signs of confirming some of their main hypotheses. The aggressive Chinese industrialisation strategy and its thirst for commodities has reduced the drive for industrial upgrading in Latin America and created new dependency relations with Africa. This relationship has so far not translated into a similar political power relationship as seen with previous major economic powers, prominently the United States. Thus, also the critiques of dependency theory that pointed to its excessive structuralism and the relative lack of attention to the ideologies and strategies of individual actors have regained relevance.

The greatest paradox of all is of course the main industrialised nations' continued reliance on mass consumption as the main driving force for development; in typical Rostow style, they are ignoring the decades of warning of its limitations as a means to improve the lives of the world's underprivileged in a sustainable manner. There are of course mainly political reasons for this glaring discrepancy between available knowledge and actual policies, but many development researchers should also take their part of the blame. In their eagerness to provide clear-cut categories as pedagogical devices, they have often overlooked the continuities between different schools and perspectives, and seeking to publish their own perspectives and results, they have often contributed to shelving the ideas of past generations. We have argued here that the ideas of the modernisation school as well as dependency theory are as vividly alive as ever in development discourse, practice and as possible normative goals and explanatory mechanisms in development. Thus, rather than being treated as odd political prophecies, they should be continuously refined, criticised and brought into dialogue with competing viewpoints.

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